

“Well, you remind me of Charlie Munger.” Buffett replied, “Well, I don’t know who this Charlie Munger is, but I really like him.” The Davises invested with Buffett, but he and Munger would not meet for another two years. When they did finally meet, the result would be one of the most enduring and successful American business partnerships ever formed.

Buffett had created his first Buffett Partnership on May 1, 1956, after his teacher and mentor, Benjamin Graham, decided to wind up the Graham-Newman Corporation where Buffett was employed. When Graham decided to retire, Buffett simply continued in the Buffett Partnerships as he had at Graham-Newman, thumbing through the same *Standard and Poor’s* and *Moody’s Manuals*, page by page, looking for classic Graham-style net nets. While Buffett regarded himself as Graham’s intellectual heir, and ran the Buffett Partnerships as Graham would, he showed an early intention to develop his own style and slowly moved away from his strict application of Graham’s principles. Where Graham liked to diversify, buying many small positions, Buffett preferred to concentrate on his best ideas. Graham had counseled that it was futile to spend time examining the quality of a found cigar butt: The margin of safety was in the discount to liquidation value. Graham knew that a number of the cigar butts would go bust, but he also believed that, on average, the portfolio would work out. Buffett used his prodigious ability to absorb numbers in the *Standard and Poor’s* and *Moody’s Manuals* to winnow down the universe of net nets into those few that were so cheap as to be almost free. Said Buffett to his biographer Alice Schroeder, “I would pore through volumes of businesses and I’d find one or two that I could put ten or fifteen thousand dollars into that were just *ridiculously* cheap.”² Where Graham did not like to visit management—he called this “self-help”³ and felt that an investor should be an outsider who confronted managements rather than rubbed shoulders with them—Buffett liked to become friendly with management. Buffett hoped that he might be able to use his charm to influence the company to do the right thing. Still, he hadn’t drifted far from Graham’s cigar butt investment philosophy when he finally met Charlie Munger.

Buffett and Munger met on a hot summer Friday in 1959 at the Omaha Club. Charles T. Munger, six years Buffett’s senior, didn’t know much about the 28-year-old Buffett. Before long, the two were talking simultaneously and understanding each other perfectly. Buffett talked about Graham and value investing. He also described the investment partnerships he ran and his returns to date: up 10 percent in 1957 against a market that was down 8 percent; up 40 percent in 1958 against a return of 38.5 percent for Dow; and he would end up 25.9 percent in 1959, again beating the Dow, up 19.9 percent.⁴ Impressed, Munger asked, “Do you think *I* could do something like that out in California?”⁵ Buffett replied, “Yeah, I’m quite sure you could do it.”⁶